



Mauritius Budget 2024/2025

Fiscal Analysis



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Foreword

In his fifth Budget, the Minister of Finance, Economic Planning and Development did not announce any significant fiscal measures.

As jurisdictions across the world are transitioning into an era where the national tax laws are increasingly interrelated, we once again strongly recommend a consultative approach in the design of our tax policies. Such an approach can only be beneficial to all the relevant stakeholders and will enhance the level of clarity and certainty in the application of the revenue laws. In the long run, this will act as a catalyst to investors to do business in Mauritius and will also reduce cases of litigation. We must not ignore the fact that the Minister is empowered to prescribe regulations without going through Parliament and such regulations, if poorly drafted, may well have unintended consequences.

The scope of the Corporate Climate Responsibility should be clarified and it would appear that it will be computed at 2% of the accounting profit of the company. The manner this proposal is enacted will determine: (a) its treatment in the computation of the tax results of the affected companies; and (b) whether it will be considered as a covered tax for the purposes of the computation of the effective tax rate under Pillar Two of the Global anti-Base Erosion Rules.

The fact that VAT on certain goods will be zero rated may not be enough to decrease the price for such goods as we are looking at goods that are imported and the weakening of the Mauritian Rupee over the past months by far exceeds the VAT on those goods.

We are disappointed to note that there are no measures to enhance the tax environment in this Budget. The increased level of compliance over the years coupled with the “hidden” costs, such as penalties, have prompted many investors to shift their respective businesses to other countries. The lack of commercial understanding by various parties has further exacerbated the proper functioning of businesses in Mauritius. Instead, the automatic exchange of information and submission of statement of financial transaction by banks are being used as a weapon by the MRA to issue assessments instead of applying a judicious approach to understand the nature of the financial information.

Ryaad Owodally

Partner - Tax



Personal tax

Budget highlights

Annual deduction of Rs 60,000 per child attending fee paying private school

- Affected persons: Resident individuals
- Financial impact: Low, medium and high depending on tax brackets
- Effective date: Income year ending 30 June 2025

Annual deduction of Rs 30,000 for employment of a carer for parent/grand-parent

- Affected persons: Resident individuals
- Financial impact: Low, medium and high depending on tax brackets
- Effective date: Income year ending 30 June 2025

Exemption from liability to income tax on termination payments

- Affected persons: Retiring individuals/terminated employees
- Financial impact: Low, medium and high depending on tax brackets
- Effective date: Income year ending 30 June 2025

Our point of view

- This measure will increase the disposable income of resident individuals with children attending a private school.
- An employee with a yearly salary of Rs 600,000 with one dependent child will have a maximum increase of Rs 2,800 in their disposable income which is equivalent to a reduction of 67% in their tax liability.
- An employee with a yearly salary of Rs 2,400,000 with one dependent will have a maximum increase Rs 10,800 in their disposal income which is equivalent to a reduction of 4% in their tax liability.
- It would appear that the deduction will be based on the fee paid by the individual and will apply to all the dependent children of the person.
- Supporting evidence, typically a receipt, should be available for the deduction to apply.
- This measure aims at encouraging individuals to take care of their respective parent/grand-parent through the employment of a carer, though the engagement of a carer realistically does not depend on any whatsoever incentive.
- Though the contractual relationship with the carer may vary, the identity of the carer will have to be disclosed to the MRA.
- The lump sum and severance allowance should be calculated in accordance with the relevant legislations, i.e., the NSFA and WRA.
- We note that Item 6(d) of Sub Part A of Part II of the Second Schedule to the ITA still refers to the Labour Act although it has been repealed.
- This measure will increase the disposable income of retired and relevant individuals.
- We note that this increase in the exemption amount does not extend to death gratuity based on the Annex to the Speech. If the increase in the exemption does not apply to death gratuities, this proposal would be discriminatory.



Personal tax

Budget highlights

Deduction for donations

- › Affected persons: Resident individuals
- › Effective date: Presumed to be as from income year starting 1 July 2024
- › The maximum allowable deduction has increased from Rs 50,000 to Rs 100,000

Our point of view

- › This measure will encourage individuals to contribute to NGOs and religious bodies.
- › The tax benefit of this measure would depend on the rate of tax applicable to the individual.



Corporate tax

Budget highlights

Corporate Climate Responsibility levy

- Affected persons: Companies with a yearly turnover of at least Rs 50M
- Financial impact: High

80% exemption extended to close-end fund on income on sale of money market instruments or debt instruments

- Affected persons: Close-end funds
- Financial impact: High

Clarification on the non-application of the 80% exemption to management company administering CIS licence holder

- Affected persons: Management company
- Financial impact: Low

Our point of view

- Trusts and sociétés are not within the scope of this measure.
- With respect to applicability of the tax, we consider that the trigger event will be turnover so that exceptional income will not be considered.
- If the levy is not considered as a covered tax, a company that is within the GloBe rules will see this as an additional cost.
- Unlike CSR, it appears that the contribution is based on accounting profit and not the taxable profits.
- Unrealised profits and capital gains appear to be within the scope of the levy.
- We do not know if companies that are outside the scope of CSR, like a company holding a GBL, will also be excluded from the purview of the levy.
- The levy cannot be reduced by any tax losses, investment tax credit, foreign tax credit or income tax exemption.
- Profit on sale of securities, which include debt instruments, is currently exempt from tax and hence we do not understand why the measure includes income from sale of debt instruments.
- We consider that the term money market instruments should be given a wide interpretation given the dynamic financial market.
- We do not foresee that the core income generating activities, stated in section 23D subsection 2(a) of The Income Tax Regulations 1996, will change as a result of this proposal.
- This measure is consistent with the interpretation of the MRA and places to a large extent all service providers on an equal footing.



Corporate tax

Budget highlights

Investment tax credit on acquisition of Artificial Intelligence and patents

- Affected persons: Manufacturing companies
- Financial impact: Dependent on the tax result of the company but may be material
- Qualifying period: Expenditure incurred by 30 June 2026

Double deduction on sponsorship cost of registered professional in arts

- Affected persons: Companies supporting registered artists
- Financial impact: Medium
- Condition: The artist must be a registered professional in the arts

80% of the income of a company holding a Robotic and Artificial Intelligence Enabled Advisory Services licence from the FSC will be exempt from income tax

- Affected persons: Relevant companies licensed by the FSC
- Financial impact: High

Our point of view

- Currently, ITC is available on expenditure incurred on acquisition of new plant and machinery.
- The scope has been extended to include AI and patents.
- Classification of the AI and patents for reporting purposes is critical.
- The interaction between annual allowances, 200% deduction on expenditure incurred on specialised software under section 65B and patents under section 67K of the ITA and the investment tax credit should be carefully evaluated.
- To achieve the full benefit of this measure, it is our view manufacturing companies should be able to claim both the ITC and the double deduction on the acquisition of AI and patents.
- Depending on the country of residence of the service provider, withholding tax may apply and in some cases the withholding tax may be borne by the Mauritian party, in which case the tax credit will reduce the financial impact.
- The term AI has a wide meaning, and it would be useful if the amending laws can provide clarification of the qualifying and non-qualifying expenses for the purposes of the tax credit.
- Further clarification is required on definition of “registered professional in the arts”.
- It is hoped that both foreign and local expenses as well as non-monetary items provided to the artist qualify for the double deduction.
- It does not appear that there is any limit on the quantum of expenditure.
- We presume that the core income generating activities (“CIGA”) will be consistent with Action 5 of the OECD/G20 Base Erosion and Profit Shifting Project.
- To enhance the certainty of this measure, we suggest that the CIGA be dealt with at the level of the FSC in conjunction with the MRA at the time the funds are set up.
- The fact that the CIGA may be scattered in a number of countries may pose a number of challenges in the application of the exemption.



Corporate tax

Budget highlights

Recycling activities classified as manufacturing activity

- ▶ Affected persons: Companies engaged in recycling activities
- ▶ Financial impact: High

Change in effective date of tax holiday for captive insurers

- ▶ Affected persons: Captive insurers
- ▶ Financial impact: High

Increase in contribution payable by a smart city company

- ▶ Affected persons: Smart city companies
- ▶ Financial impact: Medium

Exempt income streams will include the following:

- A. Interest on bond issued by a public sector company to finance infrastructure projects.
- B. Compensation payable by Government or a public sector body for losses suffered due to a natural disaster.
- C. Income from the sale of virtual assets and virtual tokens.

Our point of view

Recycling of waste is already classified as a manufacturing activity and it would appear that the amendment seeks to widen the scope of manufacturing companies so that it is not confined to the recycling of waste.

- ▶ Investment tax credit on new plant and machinery is an example of a tax incentive applicable to a manufacturing company.

The 8-year income tax holiday granted to a captive insurer will apply as from the date the company has started its activities.

- ▶ The exemption was valid until 2025, being 10 years following the introduction of the CIA 2015. No other date on the exemption period has been prescribed to date.
- ▶ This measure effectively ensures that the exemption only applies once the company starts its activities and it remains to be seen if the limitation that is determined in accordance with the commencement of the CIA 2015 will be reviewed.
- ▶ The contribution payable by a smart city company per residential property or per plot of serviced land will be increased from Rs 25,000 to Rs 100,000.
- ▶ This measure will result in an increased outlay for smart city companies and it would be useful if the law can clarify its interaction with the income tax exemption and the 2% CSR contribution.
- ▶ These measures would encourage investment in public projects.
- ▶ The exemptions on the compensation and allowance confirms Government policy to assist the qualifying parties.
- ▶ The exemption on the sale of virtual assets and virtual tokens is welcomed and is consistent with technological changes.



Corporate tax

Budget highlights

Triple deduction for companies donating to NGOs involved in the combat against drug abuse, gender-based violence, poverty alleviation and protection of animals

- Affected persons: Companies
- Financial impact: High

Increase in tax rate from IP by a manufacturing company for the medical, biotechnology or pharmaceutical sectors

- Manufacturing company engaged in medical, biotechnology or pharmaceutical sector will be taxed at a rate of 15% instead of 3% on its income derived from intellectual property assets.

Tax credit of 25% for companies investing in corporate nurseries

- Affected persons: Companies having more than 250 workers providing free childcare facilities on the premises of workplace
- Financial impact: Medium to high

Our point of view

- A triple deduction already exists for certain donations.
 - Losses resulting from the extra deduction will be subject to the 5 years restriction so that the incentives may eventually be lost.
 - Relevant documentation should be kept to substantiate the extra deduction.
 - Depending on the fact pattern, a contribution to the CSR fund may be preferred instead of treating the donation to the charitable institution as a deduction in the computation of the taxable profit. For instance, if the amount of the donation is Rs 200,000 and is treated as a deduction in the computation of the taxable profit, the maximum reduction in the overall tax liability is computed at Rs 102,000, being 17% multiplied by Rs 600,000. On the other hand, if the donation is made towards the CSR Fund of the company the maximum reduction in the CSR liability is equal to the contribution of Rs 200,000.
 - The interaction between the triple deductions and the CSR contributions should be assessed on a case-to-case basis.
 - This measure is in line with the global trends of taxing income from IP at the global minimum tax rate of 15%.
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- We assume that this tax credit is in addition to the double deduction on the setting up cost of a childcare centre.
 - It appears that the credit only applies in the year of investment.



Value added tax

Budget highlights

Vegetable seeds, fruit and flower seeds, bulbs and plants used for sowing or planting currently exempt are now zero rated
Seedling trays, plant pots and agricultural sprayers, currently standard rated would be zero-rated

- Affected persons: Final consumers and wholesalers
- Financial impact: Low
- Other stakeholders : VAT registered suppliers

VAT exemption extended to construction for pre-primary, technical and vocational education and training

- Affected persons: Providers of pre-primary and technical and vocational Education and Training
- Financial impact: High with retrospective effect

Our point of view

- This is a welcomed measure as the consumer does not have to pay VAT and the registered supplier is able to generally treat its input tax as allowable.
- Customers should see a decrease in the price of the newly zero-rated goods.
- This measure implies that the construction companies would be able to treat their input tax as allowable, but at the same time no VAT would be levied on the construction of the school buildings.
- It is hoped that the VAT exemption also applies to other goods and services that are closely linked to the construction of the building.
- The exemption will benefit the providers on the basis that educational and training services are exempt from VAT.
- The administrative burden of claiming the input tax suffered with retrospective effect would rest with the pre-primary, technical or vocational education and training providers.



Value added tax

Budget highlights

Claim of input VAT on goods and services upon voluntary registration

- Affected persons: Persons registered for VAT on a voluntary basis
- Financial impact: Medium

VAT invoice

- Affected persons: Persons registered for VAT
- Financial impact: Low

Time limit to furnish information and documents to the MRA

- Affected persons: Persons registered for VAT
- Financial impact: Low

Our point of view

- Clarification that input VAT is allowable on goods and services acquired as from the date of voluntary registration. We still do not understand the objective of this proposal, which would appear to provide that the time of supply is irrelevant in the context of a person who registers for VAT on a voluntary basis.
- Documentary evidence in respect of date of actual supply should be kept by the company e.g. delivery note. Depending on the nature of the services, the time the services are provided may be challenging to determine and all the relevant evidences should be kept.
- When an invoice has been issued in a foreign currency, the conversion rate should be included on the VAT invoice.
- This measure will ensure that a consistent approach is applied.
- We presume that the mid-rate should be applied and we recommend that the amending laws should provide the foreign exchange rate to be used.
- Clarification that the time limit is 4 years from the last day of the taxable period in which the VAT return has been submitted. This is in line with our reading of the statute of limitations.
- For instance, for the taxable month of March 2021, the VAT return is due by 30 April 2021. The return due for the supplies made in March 2021 will therefore be open to enquiry until 30 April 2025.



Value added tax

Budget highlights

Documentation required for VAT refund to a non-VAT registered person

- Affected persons: Non-VAT registered persons
- Financial impact: Low

Time limit for the MRA to made assessments

- Affected persons: Persons registered for VAT
- Financial impact: Low

Our point of view

- Statement from freight forwarding agent/customs house broker is required for VAT refund on imported equipment.
- We presume that this measure is introduced to prevent unjustified refunds.
- Time limit of 4 years from the last day of the taxable period in which the VAT return was submitted instead of when liability to pay tax arose.
- This measure confirms that the MRA has 4 years from the submission of the return to issue an assessment and is logical on the basis that if the time limit was determined based on the date the liability to tax arose, then the MRA will not be able to issue an assessment even though no VAT return was submitted.



Tax administration

Budget highlights

Renewal of the TASS

- **Affected persons:** Persons having tax arrears under the ITA, VATA and GRAA
- **Financial impact:** Full waiver of the interest and penalties on amount due
- **Conditions:** Application should be made by 31 December 2024 and payment of pure tax made by 31 March 2025

Introduction of a Contribution Arrears Settlement Scheme

- **Affected persons:** Employer and self-employed
- **Financial impact:** Full waiver of penalties
- The scheme will be implemented up to June 2025, with a full waiver of penalties

Our point of view

This measure is designed to collect tax debt with minimum delay and will only yield benefit where the taxpayer is agreeable to the pure tax.

- The MRA has the discretionary power to waive any interests and penalties under the ITA and VATA if it considers the non-compliance with the laws to be attributable to a just or reasonable cause. With the scheme, the waiver of the interests and penalties is mandatory.
- We presume that this measure will apply to tax outstanding as at 7 June 2024 which is consistent with the approach adopted in previous years.
- We consider that a full waiver of interest and penalties should also apply to cases that are resolved through a mutual agreement by the taxpayer and the MRA.
- It is hoped that a partial waiver would apply where a partial payment of the pure tax is made.
- We consider that Government could review its policy on the waiver of interests and penalties for cases where there is a voluntary disclosure by the taxpayer.

This measure is welcomed as the TASS applied to limited revenue laws

- We hope that this scheme would apply to outstanding NPF, NSF, CSG, PRGF and other contributions under the SCSB, training levy and recycling fees.
- We consider that the waiver should also apply to interests and not be restricted to penalties.
- The procedures to implement this scheme should be defined in the amending laws.



Tax administration

Budget highlights

Amended return

- A taxpayer will not be allowed to submit an amended return if an objection has been made against an assessment or a representation has been lodged with the ARC

ARC- Postponement and determination of cases

- Affected persons: Aggrieved persons with cases before the ARC

Our point of view

This measure is unfair to cases where the amended tax return is based on authentic changes. An amended tax return may be submitted for a variety of reasons, some of which may be beyond the control of the person.

- This measure renders an assessment conclusive on the additional tax liability or reduced loss of a taxpayer. With this measure, taxpayers should ensure that any amended tax return is promptly submitted.
- We agree that the taxpayer should be able to provide all the relevant explanations to support any amendments made to the initial tax return submitted.
- Where the issue in dispute revolves around cross border transactions and foreign tax credit, the fact that an amended tax return is not possible may lead to an outcome that is not consistent with the object and purpose of a tax treaty.
- At present, taxpayers cannot submit an amended return electronically once an enquiry has been initiated by the MRA.
- We consider that the section on the submission of an amended return should be revisited given the unfair stance adopted by the MRA in a number of cases.
- The success of this measure depends on its application by the ARC, particularly given its wide powers.
- We hope that consultations are made with the business community to enhance the appeal mechanism from a broader standpoint. Furthermore, the MRA itself has unfettered powers that need to be reviewed.



Other matters

Budget highlights

Reduction in Excise Duty on internal combustion engine vehicles

- Affected persons: Buyers, individuals or otherwise, of such vehicles regardless of whether those are imported as new or used vehicles
- Financial impact: High
- Effective date: 1 July 2024

Extension of the schemes aimed at encouraging home ownership

- Affected persons: Citizens of Mauritius
- Financial impact: Medium
- Effective date: 1 July 2024
- Conditions: The existing conditions have been retained

Property taxes

- Affected persons: Acquirers of property from NSLD
- Financial impact: High

Our point of view

The introduction of this measure is a disconnect between the international community's declared goals of cutting carbon emissions by encouraging the use of greener vehicles. It is also a disincentive to use the significantly improved public transportation system under this Government.

- It imposed a reduced excise duty rate to internal combustion engines burning either petrol or diesel in lieu of the rebate scheme applicable until 30 June 2024.
- This policy represents both a manque à gagner for the Government and encourages the use of the most polluting vehicles available on the market.
- The extension of the Home Ownership Scheme and Home Loan Payment Scheme, amid soaring property prices, will positively impact the ability of citizens of Mauritius to climb the property ladder.
- We note that the granting of the application remains at the discretion of the Minister of Finance and Economic Development.

This is a welcome measure and will positively impact the ability of citizens of Mauritius to climb the property ladder.

- The transfer of a social housing unit by the NSLD will be exempted from the payment of registration duty by the buyer, land transfer tax by the NSLD and from the payment of tax on transfer of leasehold rights in State land which would be payable by both the buyer and the NSLD.



Other matters

Budget highlights

Reduction in the minimum monthly basic salary threshold for the issue of Occupation Permit

- › Affected persons: Individuals
- › Financial impact: Medium

Non- Mauritian citizens having 10 years' experience would be allowed to work in Mauritius whilst OP application in progress

- › Affected persons: Individuals
- › Financial impact: Medium

No additional permit required to work in Mauritius

- › Affected persons: Retired non-citizen
- › Financial impact: Low

The 15% customs duty will not be applicable on milk beverages obtained from nuts, such as walnut and chestnut

- › Affected persons: Importers
- › Financial impact: Low

Our point of view

- › The salary threshold for professionals to apply for an OP will be reduced from Rs 30,000 to Rs 22,500.
- › To a certain extent, this measure recognises the lack of Mauritian citizens in the labour market.
- › Clarity is required on how the Economic Development Board will evaluate the 10 years' experience and type of supporting documents to be submitted.
- › This is a welcomed measure for the RNC and will encourage foreign nationals to move to Mauritius.
- › This is welcomed measure as it will lead to a decrease in the price of imported milk beverages. This will put milk from other sources at par with cow milk. Such milk will be at par with beverages such as almond milk, oat milk and soya milk and may not be welcomed by local producers of milk.



Glossary

Artificial Intelligence	AI	Objections, Appeal and Dispute Resolution Department	OADRD
Assessment Review Committee	ARC	Portable Retirement Gratuity Fund	PRGF
Captive Insurance Act 2015	CIA2015	Prime a L'Emploi Scheme	PLAL
Close End Fund	CEF	Retired Non-Citizen	RNC
Collective Investment Scheme	CIS	Rupees	Rs
Contribution Sociale Generalisee	CSG	Small and Medium Enterprise	SME
Corporate Social Responsibility	CSR	Social Contribution and Social Benefits Act	SCSBA
Finance and Miscellaneous Provision Act	FMPA	Tax Arrears Settlement Scheme	TASS
Financial Services Act	FSA	Value Added Tax	VAT
Financial Services Commission	FSC	Value Added Tax Act 1998	VATA
Gambling and Regulatory Authority Act	GRAA	Worker's Rights Act	WRA
Global Anti-Base Erosion	GloBE		
Global Business Licence	GBL		
Income Tax Act 1995	ITA		
Investment Tax Credit	ITC		
Mauritius Revenue Authority	MRA		
National Pension Fund	NPF		
National Savings Fund Act	NSFA		
National Security Fund	NSF		



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